GV499 Dissertation

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Dependence on Assumptions: Economics Literature, Monetary Policy, and Central Bank Independence

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Abstract

This paper examines how the economics literature has developed and justified the case for central bank independence. I analyze the methodologies used by the literature in two parts. First, I study the epistemological and normative assumptions underlying the theoretical models that produced the conservative central banker ideal, where central bankers are more inflation-averse than the general public and reflect the interests of the financial sector. Second, I study how empirical indices that quantify independence incorporate assumptions from theoretical models into definitions of central bank independence. I then trace the influence of this literature on policymakers through Federal Reserve speeches from 1996 to 2025. Policymakers and economists defend a narrow form of independence: a central bank should be free to use its monetary policy instruments as it sees fit, but should not set its own goals. In theory, this means the legislature should be free to debate, set, and revise the goals of monetary policy without changing the degree of a central bank's independence. However, I find that the literature conflates goal and instrument independence by presupposing that the primary goal of an independent central bank should always be price stability. A central bank with different or multiple statutory goals is considered less independent, even though those goals have no bearing on its ability to exercise its monetary policy powers without political interference. While policymakers acknowledge this conflation in their speeches, they nonetheless defend the findings of the body of literature built on this conflation in the first place.

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1 Introduction

On June 29, 2026, the Supreme Court of the United States released two rulings regarding executive power. In *Trump v. Slaughter* (2026, syllabus, at 6), the Supreme Court held that the US President has the power to fire the heads of many congressionally designated independent agencies without cause. On the same day, the Supreme Court ruled in *Trump v. Cook* (2026) that the President could not remove Governor Lisa Cook from her post at the Federal Reserve without sufficient cause. The Supreme Court carved out a constitutional protection for Federal Reserve policymakers that does not apply to other agencies. To justify this, the Court cited the long legal history of central banking in the United States. It also referenced economics arguments, such as the claim that "it is the Federal Reserve's independence that allows it to pursue its mandate of 'maximum employment, stable prices, and moderate long-term interest rates'" (*Trump v. Cook*, 2026, slip op. at 14).

Central bank independence has been widely discussed in academic settings for decades. Some of the most widely cited academic papers in the world, written by economists, describe the merits of the current institutional arrangement for America's central bank. They cite the time inconsistency problem and core macroeconomic theory to argue that monetary policy can only be effective if it is removed from political influence (Barro & Gordon, 1983; Kydland & Prescott, 1977; Rogoff, 1985). Others, predominantly political scientists and public policy academics, question this rhetoric. Some criticize central bank independence as antidemocratic, while others argue that independent central banks create policies that benefit financial institutions and exacerbate inequality (Jacobs & King, 2021; Stiglitz, 2013; Woodruff, 2019). Given the recent Supreme Court decisions, it is the perfect time to interrogate these different perspectives more deeply.

This paper asks two core questions. First, what normative assumptions underpin the economics literature that supports central bank independence? Second, do these assumptions influence the way policymakers at the Federal Reserve communicate about monetary policy? To do this, I analyze the methodologies of some of the most

well-cited economics papers in the world. I do not seek to justify the Supreme Court's rulings on executive power. Instead, I seek to understand the literature that explains why the Federal Reserve is considered "different" from other executive agencies.

My core finding is that the economics literature regularly conflates instrument and goal independence, and this influences political and economic discourse on independence. First, the literature distinguishes between instrument independence, in which the Federal Reserve can use its monetary policy tools to achieve its legal objectives, and goal independence, in which the Federal Reserve has the flexibility to choose monetary policy goals. Theoretical models that defend independence in the current institutional arrangement suggest that the goals of monetary policy should match those of the "conservative central banker," who is more inflation-averse than the general public. In practice, this means that the goals of monetary policy are presupposed by the literature, thereby closing the epistemic debate on what the optimal goals of monetary policy should be. I also argue that the "conservative central banker" is a banker who aligns with the financial sector's interests regarding inflation in economic models. Thus, the epistemically closed debate on the goals of monetary policy encodes those interests as the default for monetary policy. I then trace this epistemic process into Federal Reserve speeches, where the aforementioned conflation is often acknowledged, yet the overall findings of the literature are nonetheless supported and defended.

Section 2 provides a baseline understanding of the economics and political science literatures (and their differing conclusions on central bank independence). Section 3 handles methodology. Section 4 provides the economics literature analysis. The theoretical economics literature that developed the conservative central banker model is analyzed in 4.1.1. In contrast, 4.1.2 describes empirical analysis and measures of independence, focusing on "de jure," or legal independence. 4.2 studies how the literature is utilized in the policymaking setting through Federal Reserve officials' speeches. Section 5 provides conclusions and discussions.

2 Background and Theory

2.1 Economics Literature

I begin by providing a more precise definition of central bank independence (CBI). Debelle and Fischer (1994) distinguish two core types of CBI: goal and instrument independence. Instrument independence handles the actual implementation of monetary policies. When a central bank has instrument independence, it can use monetary policy tools to achieve its preset goals, free from political influence. In such a system, a political agent, such as the legislature or a president, is unable to influence the decision-making process for choosing which tools to use and how to use them. For instance, if a central bank has instrument independence, a president cannot use their political influence to coerce the bank into lowering interest rates, even if that president believes this is the best way to achieve monetary policy goals. If a central bank has goal independence, it has the power to choose which objectives it seeks to achieve with its instruments. It can make judgments about the most desirable economic outcome and then use its instrument independence to achieve these objectives.

The Federal Reserve's institutional arrangement distinguishes between these two forms of independence, as publicly described by Federal Reserve Chair Jerome Powell (2023). In the 1977 amendment to the Federal Reserve Act, Congress established that the Federal Reserve has a tripartite mandate to achieve the goals of "maximum employment, stable prices, and moderate long-term interest rates" through its monetary policy (12 U.S.C. § 225a). The Federal Reserve colloquially refers to this as the "dual mandate" of stable prices and maximum employment, dropping the moderate long-term interest rate component because of its "redundancy" (Downey, 2025, p. 15).[1] Powell then argues that "The existence of the dual mandate reflects the fact that the Federal Reserve's monetary policy independence corresponds to operational,

[1] It is worth noting that Downey (2025) critiques the Federal Reserve's decision to simply ignore a component of the mandate from a legal and political perspective, even if that component's inclusion has little influence on the economy. In this essay, I do not interrogate whether the Fed has a degree of goal independence. Instead, I assume that it is currently goal-dependent because that is how the economics literature treats the Federal Reserve (as I will discuss in later sections). The degree of goal independence the Fed actually has is beyond the scope of this paper.

or instrument, independence, rather than goal independence." Congress laid out the Federal Reserve's objectives, meaning the Fed lacks goal independence, but the Fed is free to use its tools to achieve those goals as it sees fit (instrument independence).

The theoretical foundation for central bank independence in the economics literature lies in a few seminal works. Kydland and Prescott (1977) apply the time inconsistency and credible commitment public policy problem to the inflation-unemployment tradeoff. In brief, in a model economy with rational agents and a government seeking to maximize some "social objective function," governments will naturally have a temptation to implement a surprise expansionary (inflationary) policy that temporarily pushes down unemployment (Kydland & Prescott, 1977, p. 473). If the economy is booming and unemployment is low, then politicians will have a higher chance of winning elections. However, rational agents in the economy anticipate this action and raise their inflation expectations. This means that such a surprise expansionary policy by the government would need to be even larger to reduce unemployment, thereby triggering even higher inflation. This principle makes it challenging for governments to credibly commit not to pursue excessively inflationary policies, thereby heightening inflation expectations among the public. Inflation becomes anchored at a level that is higher than what society's social objective function (as defined by the model) deems optimal.

Barro and Gordon (1983) apply this logic directly to central banking. First, note that they (along with much other theoretical literature on monetary policy) assume that monetary policy is neutral in the long run, meaning that changing the money supply (the amount of currency in circulation) does not influence real economic output after a sufficiently long period of time. Most simply, if the amount of currency in circulation increases, the relative price between goods should, in theory, also increase, so output remains unchanged (Downey, 2025, pp. 49–50). Given this, Barro and Gordon (1983) suggest that monetary policy can only influence the economy if there is a short-run surprise, before prices have time to readjust. A surprise increase in the money supply (expansionary monetary policy) can lead to a short-run expansion of economic output

and a decline in unemployment. Still, prices will eventually rise, and output will return to its original level. Under the logic of the time inconsistency problem, rational agents anticipate attempts by political agents to stimulate the economy through monetary policy. Thus, they have high inflation expectations, which anchor observed inflation at a heightened level without yielding any long-term economic benefits.

Barro and Gordon (1983) argue that the optimal setup to resolve this problem is a central bank that is entirely constrained by pre-established rules strictly governing monetary policy decisions, ensuring that central bankers are not tempted to loosen monetary policy and trigger inflation. This establishes the central bank's credibility, lowering inflation expectations. However, rules may not be a perfect arrangement. In the real world, it may be important for a central bank to respond to unique, evolving economic conditions, and rules are inherently inflexible. Rogoff (1985, p. 1177) provides several possible solutions. The most famous solution is the appointment of a "conservative central banker" who is "known to place a greater weight on inflation stabilization" than the general public would, on its own, desire. In particular, Rogoff's conservative central banker "places a larger weight on inflation relative to employment stabilization" (Romelli, 2024, p. 2). Additionally, a conservative central banker must be free to set monetary policy without political interference. Otherwise, even if their own preferences are unchanged, the public will expect political agents to coerce the central banker into inflating, undoing the positive effect of lowered inflation expectations. Thus, CBI is a necessary prerequisite for the conservative central banker model to be effective.

Central bank independence has become the dominant form of monetary policy-making worldwide (Crowe & Meade, 2007). This process occurred over decades following the end of World War II, but much of modern analysis of CBI begins with the late 1970s and early 1980s Federal Reserve. Fed Chair Paul Volcker combated the spike in inflation the United States was experiencing by raising interest rates sharply. He faced political pressure to lower interest rates, but refused. The economy fell into a recession, and unemployment rose significantly, but price stability was reestablished, and inflation fell (Goodfriend & King, 2005). This episode is frequently referenced in

the economics literature for two reasons. First, it serves as a simple empirical example of the time inconsistency problem, where a politician wanted interest rates lower than what was optimal, and an inflation-averse, "conservative" central banker resolved the problem by emphasizing price stability (Goodfriend & King, 2005; Mishkin, 2008). Second, Federal Reserve technocrats used their specialized expertise to successfully combat an episode of inflation. Even though there was short-term pain in the economy, the literature argues that the US reaped long-term benefits (Alesina & Summers, 1993, p. 151). This helped lend legitimacy to the technocrats of central banks, who hold unique, strong monetary policy powers. Under these assumptions, CBI became the institutionally accepted arrangement for central banking worldwide (Crowe & Meade, 2007). "Central bank independence has achieved an almost taken-for-granted quality in contemporary political life, with little questioning of its logic or effectiveness" (McNamara, 2002, p. 47).

2.2 Political Science Literature

I now turn to the political science literature on CBI. There is a well-established body of work questioning the assumptions underpinning central bank independence. I focus on academic pieces whose content differs from the assumptions made in the previously discussed economics literature. This is important context for my analysis sections, in which I examine the methodologies of some core economics papers.

I start with a general commentary on normative versus positive assumptions. Economic modeling generally seeks to identify the set of economic conditions necessary to maximize social welfare, given a series of assumptions about the economy. Measuring human welfare itself is a normative concept. There is no absolute, definitive measure of welfare; determining what maximizes welfare requires normative assessments based on values and personal beliefs (Cairney, 2011). Rational agents with different values can easily disagree about welfare measurements. Who gets to make these value assessments is important, particularly given that the implementation of monetary policy does not affect all citizens equally (Stiglitz, 2013). Thus, even if a model is produced

technically correctly, its prescribed economy can differ from those desired by different political agents without either party being incorrect. They have a difference in values.

One important source of technocratic bias in monetary policymaking may come from the literature itself. Weiss (1979) describes an "enlightenment" model where underlying narratives that show up in a body of academic work slowly influence policymakers. Over time, research can become ingrained in public policy decisions, changing the way problems are framed. Given this, it is worth understanding the literature that influences policymakers and the normative assessments within it. There is no such thing as an entirely "apolitical" institutional arrangement, and the norms and values that underpin an institutional, public policy setup that get defined as "normal" and "apolitical" are worth understanding. Literature contributes to this process by establishing core ideas as "settled fact," pushing research and policy in a particular direction. In the case of central banking, institutional "amnesia" occurred, and policymakers "forget" that the arrangement they embody was different and, therefore, could be different in the future (McNamara, 2002).

A core assumption that underpins much of the modeling in the economics literature is that monetary policy is neutral in the long run. This has its roots in a very simplistic model of how changes to the money supply are implemented. In practice, the Federal Reserve has no direct power to influence the money supply; banks adjust their lending based on the supply and demand for currency (Watson, 2002). Rather than being distributed equally to all individuals at the same time, the money supply is adjusted by influencing banks' lending decisions. Thus, there is a double delegation of monetary policy under CBI: from the legislature to the central bank, and from the central bank to private banks (Downey, 2025). Given this, the functioning of monetary policy is tied to the prosperity of the financial sector, implying that monetary policy decisions can have important distributional consequences (Jacobs & King, 2021). For instance, the large-scale asset purchases and the establishment of positive interest on excess reserves following the 2008 recession particularly benefit the banking sector and those with access to assets. Banks that can participate in lending facilities or trade directly

with the Federal Reserve have a particular economic advantage. Monetary neutrality cannot apply to this more complex world of monetary policy, where instruments are implemented through private banks (Downey, 2025).

An additional assumption supporting independence regards the ability of central bankers to execute monetary policy effectively and without bias, ensuring that their policies maximize welfare across the economy. However, there is little evidence that any policymaker or technocrat, much less monetary policymakers, can serve as such an unbiased bureaucrat. All human beings suffer basic cognitive limitations that bias judgment and limit the effectiveness of policy, and monetary policy technocrats are no different (Simon, 1997; Thaler, 2008). In particular, career incentives and professional socialization routinely cloud judgment of central bankers (Adolph, 2013). For instance, if a monetary policymaker built their career in the banking sector, they tend to defend policies that allow banks to take on more leverage (Wirsching, 2018). If an economist has been socialized under an economic doctrine that defines optimal economic welfare in a certain way, they are likely also to see the world this way (Jacobs & King, 2021).

Much of the economics literature on CBI argues that politicians cannot be entrusted with monetary policy (a core assumption about inflation and the time inconsistency problem). This implies that the creation of central bank independence and the norms associated with it are outside the political process. However, central bank independence did not materialize out of thin air; it occurred through a political process (McNamara, 2002). Additionally, the determination of socially “optimal” monetary policy is also a political question. The proliferation of CBI as the dominant institutional regime for central banking may be tied to efforts to seek political legitimacy and to disempower future politicians with different political objectives (Dellepiane-Avellaneda, 2013). The Bank of England’s establishment as an independent central bank in the mid-1990s serves as a prominent example of this. Finally, the time inconsistency problem applies to a variety of fiscal policies (Berman & McNamara, 1999). One could imagine a situation in which politicians could pass irresponsible economic policies, such as large tax cuts or direct payments to citizens, immediately before elections. It is unclear why, at

least in theory, monetary policy is distinguished from other areas of economic policy-making.

Criticisms of central bank independence have been met with rhetoric about the dangers of political influence on monetary policy, thereby limiting political discourse on central banking (Woodruff, 2019). One political science theory that may help explain this dynamic is Lindblom (1982). As the financial sector's role in shaping macroeconomic outcomes grew, so did the perceived costs of policies that could harm it. Lindblom (1982) likens a situation like this to a prison, where it becomes extremely difficult to justify policies that cause economic pain, even if in the long run they create improved social welfare. This entrenches the current status quo of regimes and institutions, preventing reform.

There are additional consequences to entirely removing monetary policy from the political process. One such area of concern is the lack of knowledge among politicians about monetary policy and, more broadly, macroeconomic conditions. Most simply, the disempowerment of the legislature means politicians no longer have to be educated about it (Downey, 2025). Members of Congress do not have to understand the core areas of the Federal Reserve's responsibilities. Furthermore, CBI justifies not engaging seriously with monetary policy. Not only is monetary policy outside their control, but it is also outside their control for the nation's good. As an example, Bernanke (2017) describes how Federal Reserve Chair Ben Bernanke misconstrued the mechanism by which the Federal Reserve creates reserves to establish an emergency loan to AIG during the 2008 crisis, because he did not have time to explain the technicalities of central banking to a senator. Thus, the removal of the political process from central banking creates an information gap with politicians, preventing central banking from reentering serious political discourse.

Central bank independence also has the byproduct of making fiscal policy less and less important for macroeconomic conditions relative to monetary policy. Some describe this phenomenon as central bank "loneliness" (Mabbett & Schelkle, 2019). Politicians traditionally handle economic policy decisions with distributional or nor-

mative consequences in a functioning democratic society. Voters can express their frustration or support at the ballot box, ensuring that the policies implemented reflect their perspectives.[2] CBI challenges this mechanism for monetary policy by entrusting core power that influences macroeconomic outcomes to an institution that is beyond the scope of the political process (Hopkin & Blyth, 2019). There is no mechanism for voters to push reform, even if that institution is not prioritizing the normative goals deemed most important by voters (Woodruff, 2019). If the economy is performing poorly, Congress can blame the Fed without taking any real action (Mabbett & Schelkle, 2019). There are no longer significant political repercussions for bad monetary policy, removing one potential source of political turmoil for politicians (Woodruff, 2019). This means Congress has little incentive to act on the economy. Action creates the possibility of voter discontent and ultimately bad performance in elections; inaction prevents such from occurring. As a consequence, CBI results in central banks being the primary actors on macroeconomic policy.

3 Methodology

This paper provides a methodological analysis of the CBI economics literature and its influence on central bankers. I seek to understand the literature that developed the arguments regarding central bank independence and how these papers influence the way policymakers communicate about CBI. First, I consider whether the economics literature conflates instrument and goal independence by presupposing which goals central banks attempt to achieve. In particular, I hypothesize that price stability is widely regarded as the sole valid monetary policy goal. This is a falsifiable hypothesis; if the economics literature considers other possible goals of monetary policy beyond price stability, then the hypothesis fails. Additionally, a rival hypothesis could also exist. Independence may have developed as a byproduct of the central bank's attempts to

[2]The question of whether the United States is a functioning democracy is beyond the scope of this paper. However, this paper does address whether it is good for voters in a functioning democracy to be unable to influence the goals of monetary policy.

fight inflation. In particular, if monetary policy cannot influence real economic variables in the long run, apart from inflation, then inflation is the only meaningful political goal for monetary policy. It is not necessary to consider alternatives, as they would make no sense in this policy space.

My analysis is divided into two parts. The first section, 4.1, examines core arguments in the economics literature. To do this, in 4.1.1, I qualitatively analyze the methodologies of some of the most well-cited theoretical economics papers, many of which build on each other, to discover the root assumptions that underpin these models. I consider the origins of price stability as a goal of monetary policy, the conservative central banker model, and why this model was defended in the literature. I then move to the empirical analysis in the economics literature in section 4.1.2, where I study how the findings of the theoretical literature are incorporated in definitions of measuring how independent a central bank is. To study how the conflation of instrument and goal independence biases indices that measure de jure, or legal, central bank independence, I compare the US and Türkiye as an illustrative example. In both subsections, I examine whether the economics literature on CBI allows the legislature to define monetary policy goals freely or presupposes those goals. If the literature dynamically considers different possibilities for the goals of monetary policy, it successfully distinguishes between goal and instrument independence. If it only considers one set of goals, or penalizes central banks for having different goals, then goal and instrument independence are conflated.

In section 4.2, I trace the epistemological prior in the economics literature into the monetary policymaking arena through Federal Reserve governor speeches. The economics literature is not US-specific; theoretical modeling is not country-specific, and the empirical literature tends to do cross-country analysis of CBI. However, given that the United States has the largest economy in the world, and central bank independence around the world was adopted and developed in large part following the lead of the United States in the 1970s–1980s, using it as a case study makes sense.

Federal Reserve governors make speeches to communicate important ideas about

monetary policy and the institution. Looking at how they communicate about economic research and what they choose to emphasize is informative for understanding how the epistemological prior in the academic literature influences policymakers. To accomplish this, I imported a total of 2,803 speeches and public statements by Federal Reserve officials from 1996 to 2025. I originally retrieved the metadata for the speeches from repositories on the platforms Kaggle and Hugging Face. These two open-source platforms allow users to build publicly available datasets and machine learning models. Kaggle's data spans 1996 to 2020, while Hugging Face's data spans 1996 to 2025. I merged the datasets to verify accuracy, and then I filtered the speeches to those that reference core economics papers. For speeches on subjects I was interested in, I pulled quotes and references directly from the Federal Reserve's website.

4 Analysis

4.1 Epistemological Assumptions in the Economics Literature

4.1.1 Theoretical Economics Modeling

Economic modeling of the time inconsistency problem assumes that society prefers a specific overall inflation rate, but it is not always clear why. For instance, Kydland and Prescott (1977, p. 475) begin by defining an "agreed-upon social objective function" that is "assumed to exist," in which society determines the most desirable inflation rate. The paper then proceeds to solve for maximum welfare, given this function. Downey (2025, p. 52) notes how former Fed Chair Ben Bernanke states, "In the long run, the central bank can affect only inflation, and not real variables such as output." If the price of goods increases but buying power also increases (e.g., through wage growth), consumers can purchase just as many goods as before. It is not always apparent why inflation should be included in some social objective function in the first place, and most models of CBI do not specifically challenge this. Downey (2025, pp. 58–61) critiques the idea that there are general costs to society of inflation. In most cases, the costs

of price adjustments for businesses are small, particularly since most prices can be adjusted easily electronically. While there can be costs associated with surprise inflation, in which businesses make improper projections about their operating costs, these costs are generally small relative to other economic problems.[3] Thus, if inflation were uniform and affected all agents in the economy equally, little would change. If prices increased, wages would also rise, and overall consumption would remain unchanged.

However, inflation is not a uniform economic phenomenon; it affects various interest groups differently. First, it is worth noting that the Federal Reserve meets the price stability component of its dual mandate by targeting 2% inflation. This is measured primarily through the Personal Consumption Expenditures price index produced by the Bureau of Economic Analysis (Board of Governors of the Federal Reserve System, 2024). It estimates inflation by constructing a basket of goods that reflects general consumption behavior and then measuring how prices have changed for those goods. Measuring inflation with a single index that covers the entire economy, however, misses the heterogeneity of consumption habits. Different socioeconomic groups consume goods and services differently. Inflation can play a significant role for people experiencing poverty, who barely have enough spending power to make ends meet. If a family is living in poverty and prices rise faster than their pay, they may be unable to afford essential goods and services. Wealthier families can use their savings or investment income to minimize inflation-related risks. Thus, it would be useful for the Federal Reserve to measure the erosion of the purchasing power of people experiencing poverty when defining its price stability target. This is not currently part of the Federal Reserve's objectives.

An important additional normative question surrounds the costs of unemployment. Economic theory posits that in the long run, tightening monetary policy does not change real variables; it only lowers inflation. However, in the short run, unemployment rises temporarily. This expansion of unemployment does not occur randomly;

[3] In the interest of time, I generally ignore hyperinflation in this essay, but it is worth noting that there are plenty of historical examples of non-independent central banks not experiencing hyperinflation, including the Bank of England before the mid-1990s.

those at the bottom of the income and wealth ladder (who are most vulnerable to adverse financial shocks) are also the most likely to experience business-cycle-triggered unemployment. A cycle of unemployment can lead to financial ruin for these families, affecting them long after the economy has returned to its original output, as the theory of monetary neutrality suggests (Jacobs & King, 2021). Thus, there are concentrated costs to even short-run unemployment that have lasting consequences for predominantly lower-income families.

Setting aside this heterogeneity, there is a real, measurable cost to inflation for creditors (particularly banks) relative to debtors. A core feature of bank intermediation is maturity transformation, in which banks take cash (deposits) and other short-term investments and make long-term loans (mortgages, corporate loans, etc.). These loans generally have a fixed interest rate. If inflation spikes, the real value of these loans falls; each dollar a debtor repays to the creditor becomes worth less than it was when borrowed. Here, an aggregate measure of inflation is more appropriate. Banks distribute money throughout the economy, so the average value of a given dollar influences banks' ability to continue lending, based on the gains recouped from previous loans. Given that there are varying costs of inflation for different interest and demographic groups, "inflation has significant redistribution effects" (Posen, 1995, p. 256).

It is worth noting that this story, in the "real" world, is complicated. I have already established that monetary policy may not be neutral in the long run and has also become increasingly complex over the last four decades. Wansleben (2023) argues that part of the Federal Reserve's institutional growth over the last 40 years has revolved around policy innovations that make expansionary monetary policy non-harmful (or even beneficial) for private banks. I do not fully address this complexity in this paper. However, the simplistic models that underpin the conservative central banker also do not address these complexities. In a world of simple monetary policy, with a simple toolkit and a single lever, there is strong evidence that financial institutions, in particular, benefit from tighter monetary policy aimed at combating unexpected inflation. It is this simple model that is used in the core theoretical models of the time inconsistency

problem and, thus, of central bank independence.

Given this, it is clear that how we measure inflation and why we care about it vary significantly. Different socioeconomic groups consume different baskets of goods and face different costs from inflation and unemployment. Yet the theoretical literature on monetary policy begins its modeling with the core assumption that there is a social objective function that reflects society's aggregate preferences. In particular, Kydland and Prescott (1977, p. 480) describe how the "socially preferred inflation rate is zero, which seems consistent with the public's preferences," and "a more informed public might prefer some positive or negative inflation." Barro and Gordon (1983, p. 103) acknowledge "distortions from income taxation, unemployment compensation, and the like," yet ignore these distortions in their actual model. While they think "of the monetary authority's objective as reflecting the preferences of the 'representative' private agent," they "express this objective as a function of actual and expected rates of inflation" (Barro & Gordon, 1983, p. 102). Rogoff (1985) extends the modeling implications that are predicated on having one uniform, socially optimal inflation rate. In all cases, the differential impacts of inflation on different interest groups, or even how we measure inflation, are left out of the model.

The premise of the conservative central banker is a central banker who is more inflation-averse than the public. Yet, Rogoff leaves an underlying question unanswered: Why might a central banker have this anti-inflation bias? What influences might lead to such an outcome? One possible answer is that central bankers, as technocrats, are influenced by the economics literature and the "facts" of monetary policy. They understand, technically, what monetary policy is and why it matters far more than the public or political figures do. As Weiss (1979) may suggest, the economics literature itself thus becomes self-reinforcing; central bankers believe the models in the economics literature are optimal for society, so they follow them (Kwak, 2013).

A second possible answer is that special interest groups that benefit more from lower inflation than the rest of the public can help enforce central bank independence. In particular, Posen (1995, p. 256 n. 6) argues that increasing CBI "is taken to be

equivalent to increasing the relative weight of price stability over employment goals in the monetary authority's utility function," and that this "conforms with the conservative central banker of Rogoff (1985)." Posen identifies this interest group as the financial sector: "the financial sector is uniquely positioned to provide that support, and central banks have been most independent where that support has been strongest" (Posen, 1995, p. 254).

The expansion of monetary policy's power, combined with the low-interest-rate environment since 2008, complicates the picture. Financial institutions may not exclusively benefit from the weighting of price stability over employment in monetary policy goals. Large-scale asset purchases are the immediate example of this, because "by recapitalizing the financial sector and not the broader economy, QE had a political multiplier effect that enhanced the political influence of banks at the expense of ordinary citizens" (Adolph, 2018, p. 738). The core takeaway from this subsection is not that finance uniformly benefits from tight monetary policy. Instead, the development of the theoretical literature that justifies central bank independence, and thus modern monetary governance, is predicated on a model that explicitly overvalues a normative assumption that benefits financial institutions. Their interests were modeled as those of society, which led to the development of the "conservative central banker" vision of central bank independence. At the same time, the complexities of inflation's distributional consequences were largely ignored.

4.1.2 Empirical Evidence and CBI Indices

The economics literature has attempted to measure the influence of central bank independence through empirical analysis. Regarding both goal and instrument independence, it can be difficult to measure the extent of political figures' influence on central bank decisions. Thus, many empirical papers distinguish between "de jure" and "de facto" independence (Romelli, 2022). While de facto analysis examines the personal influence of political figures on central banking, de jure measures ground themselves in the laws governing monetary policy, from the appointment of central bank officials to

the laws establishing monetary policy goals. I emphasize de jure independence in this paper because the assumptions underlying the definition of an “independent” central bank are informative. These assumptions are explicitly described in the methodologies of de jure papers. Still, because de facto papers measure things like political influence, they have less commentary on the central bank institutionally.

Empirical measurement of de jure CBI generally involves constructing an index from the laws governing a central bank. Authors study different components of central bank governance, and determine the degree to which the law describes an independent central bank. Indices define perfect de jure CBI as “1” and complete de jure central bank dependence as “0.” Arguing for the merits of a given index or strategy is beyond the scope of this paper. Still, they all share a basic theoretical basis in the arguments initially presented by Kydland and Prescott (1977), Barro and Gordon (1983), and Rogoff (1985). Papers providing analysis on de jure CBI generally find a single result: the politicization of monetary policy raises inflation without boosting economic growth (Posen, 2025, p. 4).

In the following paragraphs, I will present an analysis of various papers on de jure CBI to argue that a core feature of this literature is the conflation of goal and instrument independence. Under the Debelle and Fischer (1994) model, even though instrument independence is optimal, the goals of monetary policy should be established solely through political processes. The type of goals a central bank is set to achieve should thus not be relevant to a CBI index if that index is principally measuring instrument independence. In particular, a codified “price stability” target is often incorporated into the optimal arrangement for an independent central bank. This may be optimal for achieving the conservative central banker vision of monetary policy, but the definition itself has little to do with how independent a central bank is.

Some of the most influential works on de jure CBI are Alesina (1988), Grilli et al. (1991), Alesina and Summers (1993), and Bade and Parkin (1988), which updated Bade and Parkin (1982). Alesina (1988) builds on a methodology developed by Bade and Parkin (1982) to create one of the earliest measures of de jure independence.

They decompose independence into “political” and “financial” forms. Political independence generally concerns insulating central bank officials from political processes (such as protections against dismissals and government approval of monetary policy decisions) to achieve monetary policy objectives. In contrast, financial independence occurs when the central bank lacks a legal obligation to finance the government. While Bade and Parkin (1988) consider both forms of independence, Alesina (1988) focuses almost exclusively on political independence. The codified goals of monetary policy are not explicitly included in these definitions.

This changes with Grilli et al. (1991, p. 366), where “political independence” is defined as “the capacity to choose the final goal of monetary policy.” This is distinct from economic independence, or the “capacity to choose the instruments with which to pursue these goals.” By definition, political independence can be mapped to goal independence, defined by Debelle and Fischer (1994), while economic independence is similar to instrument independence. However, Grilli et al. (1991, p. 367) explicitly penalize central banks that do not have a strict price stability target in the creation of their index. They note that “in principle, independence to choose the final goals can be defined without reference to the contents of such goals,” yet “the main virtue of having an independent central bank is that it can provide credibility. This is why we identify independence with autonomy to pursue the goal of low inflation.” They further emphasize that “any institutional feature that enhances the central bank capacity to pursue this goal will, on our definition, increase central bank independence.” In essence, they acknowledge that their index conflates goal and instrument independence, but given the basic logic of the time inconsistency problem, they argue that there is no viable alternative goal for monetary policy.

Alesina and Summers (1993) develop a statistical model that measures how different levels of CBI influence economic variables such as output and inflation, using the average of the de jure CBI indices reported by Alesina (1988) and Grilli et al. (1991). They find that “while central bank independence promotes price stability, it has no measurable impact on real economic performance” (Alesina & Summers, 1993, p. 151).

Additionally, there is “a near perfect negative correlation between inflation and central bank independence” (Alesina & Summers, 1993, p. 154). Most importantly, Alesina and Summers (1993, p. 153) acknowledge that the Grilli et al. (1991) index treats the price stability objective as a criterion that should be “explicitly and prominently part of central bank statute.” Despite these methodological issues, the findings of Alesina and Summers (1993) have been cited thousands of times in the economics literature.

At approximately the same time, Cukierman et al. (1992) produced an expanded index on de jure CBI. They included more countries and components than previous works and, as a consequence, this work has been repeatedly built upon and extended. Some of these more recent works include Romelli (2022), Romelli (2024), Dincer et al. (2024), and Garriga (2025). While these papers produce their own indices, they all follow the same basic framework. In other words, the methodology in Cukierman et al. (1992) underpins most modern measures of de jure CBI.

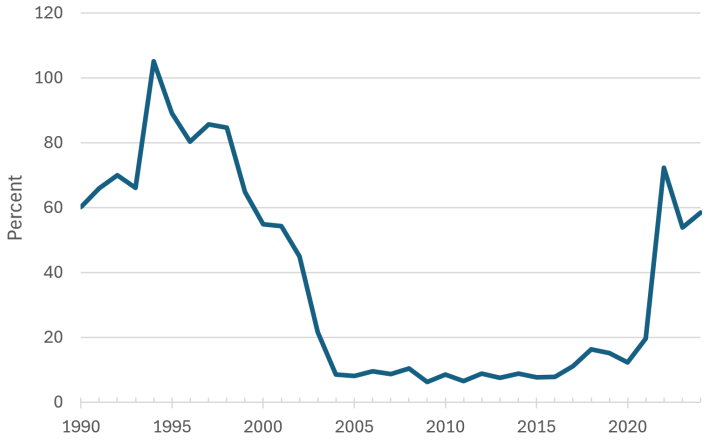
Crucially, Cukierman et al. (1992) did not distinguish between goal and instrument independence components when building their measures of de jure independence. As in Grilli et al. (1991), they include the objectives component of independence in the index, explicitly penalizing central banks whose objectives do not prioritize price stability. The inclusion of a goal component here is also linked explicitly back to the previously described theoretical literature: “In Rogoff’s (1985) terminology, the objectives variable measures the strength of the ‘conservative bias’ of the bank’s charter” (Cukierman et al., 1992, p. 357). The conservative central banker was effectively synonymous with CBI, methodologically speaking. This decision is paramount; empirical analysis of de jure CBI essentially stopped distinguishing between goal and instrument independence in its methodologies thereafter.

The Federal Reserve’s CBI scores are universally penalized under this methodology because the Federal Reserve’s goals go beyond price stability. Recall from section 2.1 that the United States legally has a “tripartite” monetary policy mandate, which the Federal Reserve colloquially refers to as its “dual mandate.” The aforementioned de jure CBI measures in Grilli et al. (1991) and Cukierman et al. (1992) code the Federal

Reserve's monetary policies as the "dual mandate," resulting in a significant hit to the Federal Reserve's overall index score. Including an employment component does not align with the conservative central banker model codified in the objectives component of these indices.

The conflation of goal and instrument independence has implications in the de jure measurement of CBI today. Using a comparison of the United States and Türkiye as a case study can be illustrative. "The political system in [Türkiye] has been rapidly centralizing around the executive branch of the state, while the power of independent state institutions eroded" since 2011 (Demiralp & Demiralp, 2019, p. 62). This antidemocratic trend has coincided with President Erdoğan increasing pressure on the Central Bank of the Republic of Türkiye (CBRT) to maintain low interest rates (Gürkaynak et al., 2023). Inflation spiked in 2018 in Türkiye, particularly following a constitutional reform that dramatically increased President Erdoğan's political power. Following the reform, the CBRT fully implemented President Erdoğan's unorthodox view that lower interest rates reduce (rather than increase) inflation, on average. Figure 1 displays Turkish inflation from 1990–2024. Between 2004 and 2016, Turkish inflation remained generally below ten percent. From 2017 onward, the rate rose above 10 percent, and between 2020 and 2022, the rate spiked from 12 to 72 percent.

Figure 1: Turkish Inflation, 1990–2024



Source: World Bank (2026)

A variety of commentators have described the Turkish situation as evidence of the importance of CBI erosion and have applied it to the American context. Posen

(2025) attaches this spike to President Erdoğan removing and replacing central bank governors who do not support his views on monetary policy. Gürkaynak et al. (2023, p. 530) cite the decay of CBI in Türkiye as the "only plausible answer" for the lack of a strong anti-inflationary response from the CBRT. Such firings erode the CBRT's instrument independence, as individual interest rates become heavily influenced by executive authority rather than by the technocrats running the CBRT. While Jeddy (2025) warns that President Trump's political pressure on the Fed may result in a similar story to Türkiye, to date, President Trump has been unsuccessful in removing Federal Reserve policymakers from office. With some caveats, the Federal Reserve's "institutional strength is well established," meaning that the Turkish erosion of CBI did not occur in the United States, despite President Trump's pressure (Çakmakli et al., 2024, p. 542).

Despite this, the conflation of goal and instrument independence within the de jure measures of central bank independence results in Türkiye having a uniformly *higher* CBI score than the Federal Reserve. First, it is worth noting that modern de jure indices, while largely based on the core framework of Cukierman et al. (1992) and/or Grilli et al. (1991), still entail a series of subjective coding and methodological decisions. Table 1 summarizes how the de jure indices used in this paper differ. I cite these differences not to argue which methodology is "best," but rather to establish that there is ongoing academic debate about the most appropriate methodology for a de jure CBI index, and that different measurement strategies are already being developed in the literature. Despite all of the different methodologies, all papers used in this analysis include the goals of a central bank as an integral part of their measurement schemes.[4]

[4]The component data for Dincer et al. (2024, p. 399) was unavailable, but the methodology confirms the inclusion of an objectives component, which studies the "objectives of the central bank, including an emphasis on price stability versus other goals." Additionally, while the index from Grilli et al. (1991) was replicated and updated by Romelli (2024), no published version of the index in Bade and Parkin (1988) is available.

Table 1: Comparison of de jure central bank independence indices

	Garriga (2025)	Romelli (2024)	Dincer et al. (2024)
Base tradition	CWN	GMT + CWN integrated	CWN + Cukierman et al. (2002)
Dimensions	4	6 (adds financial independence, reporting/disclosure)	4 (8 components)
Disaggregated criteria	∼CWN's 16	42	∼CWN's 16
Coverage	192 countries, 1970–2023	155 countries, 1923–2023	120 countries, 1800–2021
Aggregation	Unweighted + weighted	Weighted sub-indices	LVAU / LVAW / LVES / LVESX
Key feature	Broadest country coverage	Most criteria; new dimensions	Longest history; ML validation

Notes: All three are *de jure* indices derived from the Grilli, Masciandaro & Tabellini (1991, "GMT") and Cukierman, Webb & Neyapti (1992, "CWN") coding traditions. Garriga (2025) includes four Cukierman et al. (1992) components (personnel independence, objectives, policy formulation, lending limits). Romelli (2024) integrates Grilli et al. (1991) and Cukierman et al. (1992) while adding financial independence and reporting/disclosure criteria. Dincer et al. (2024, p. 394) state that "We utilize Cukierman et al.'s (2002) 16-point scale," and they add a machine-learning (ML) validation layer. LVAW, LVES, and LVESX match the methodologies of indices presented in Cukierman et al. (2002), which builds on Cukierman et al. (1992). Dincer et al. (2024) treat LVAU as their preferred index.

All of the aforementioned indices indicate that the CBRT is more independent than the Federal Reserve. Tables 2, 3, and 4 show a comparison of how the United States Federal Reserve scores on de jure independence measures relative to the CBRT. At face value, this makes sense, given what these indices are measuring. The CBRT's mandate was revised following the Turkish currency crisis in 2001, and it was written to match the norms of central bank independence that are now well established in countries around the world. Thus, if these indices were measuring how well a law chartering a central bank encapsulates the international norms associated with CBI, the Turkish laws would fit perfectly.

I argue that de jure CBI indices are biased measures of independence, as defined by instrument and goal independence, for two reasons. First, these measures overlook the strength of the institutions that enforce the central bank's laws. On paper, the CBRT's de jure independence has not changed in recent years. Yet, the expansion of

presidential power (and the subsequent decline in democracy in Türkiye) is omitted. Indeed, the aforementioned papers on de jure CBI generally ignore the relationship between democracy, CBI, and inflation. The US was central to CBI's rapid growth, using its international influence to entice other nations to follow its lead. However, US law does not reflect the Federal Reserve's broader independence.

Table 2: CBI Scores, United States vs. Türkiye (2023), Romelli (2024)

Index / Sub-index	**USA (2023)**	**Türkiye (2023)**	**Gap (Türkiye − USA)**
CBIE Index			
Overall	0.614	0.801	+0.187
Board independence	0.506	0.590	+0.084
Policy independence	0.700	0.800	+0.100
Objectives	**0.250**	**1.000**	**+0.750**
Lending restrictions	0.938	1.000	+0.063
Financial independence	0.667	0.667	0.000
Reporting & accountability	0.625	0.750	+0.125
Comparison indices			
GMT Index (normalized)	0.750	0.813	+0.063
CWN Index (unweighted)	0.808	0.909	+0.101
CWN Index (weighted)	0.735	0.867	+0.132

Notes: All scores are on a $[0, 1]$ scale where 1 denotes maximum independence. Data sourced directly from Romelli (2024). The bolded "Objectives" sub-index from Romelli (2024) measures the degree to which price stability is the sole or primary statutory mandate. GMT references the index first produced by Grilli et al. (1991), while CWN references Cukierman et al. (1992). Both were recoded and extended by Romelli (2024).

Table 3: CBI Scores, United States vs. Türkiye (2023), Garriga (2025)

Index / Sub-index	**USA (2023)**	**Türkiye (2023)**	**Gap (Türkiye − USA)**
CWN Index			
Overall (unweighted)	0.391	0.861	+0.470
Overall (weighted)	0.475	0.899	+0.424
Sub-indices			
CEO independence	0.438	0.645	+0.207
Objectives	**0.400**	**0.800**	**+0.400**
Policy formulation	**0.100**	**1.000**	**+0.900**
Limitations on lending	0.626	1.000	+0.374

Notes: All scores are on a $[0, 1]$ scale, where 1 denotes maximum independence. Data is sourced from Garriga (2025), following Cukierman et al. (1992) criteria. The Objectives sub-index measures the degree to which price stability is the primary statutory mandate for monetary policy. The policy formulation component comprises who formulates monetary policy, the conflict resolution process, and the central bank's influence on the government's budgetary process.

Table 4: CBI Scores, United States vs. Türkiye (2021), Dincer et al. (2024)

Index	**USA (2021)**	**Türkiye (2021)**	**Gap (Türkiye − USA)**
Legal independence indices			
LVAU (unweighted)	0.698	0.844	+0.146
LVAW (weighted)	0.647	0.794	+0.147
LVES (narrow)	0.560	1.000	+0.440
LVESX (extended narrow)	0.736	1.000	+0.264

Notes: All scores on a $[0, 1]$ scale where 1 denotes maximum independence. Values are 2021 scores from Dincer et al. (2024), Table 5. All four indices are built from the 16-criterion scale of Cukierman et al. (2002), which extends Cukierman et al. (1992), aggregated into eight components. LVAU is the unweighted average of those components and is the authors' preferred measure; LVAW is the weighted average. LVES is a narrow index that combines the central bank's role in monetary policy formulation (0.4), the resolution of conflicts with the government (0.4), and the role of price stability among its objectives (0.2). LVESX is a weighted average of LVES (0.6) and the "limitations on lending—miscellaneous" subcomponent (0.4) (Dincer et al., 2024, p. 407). Dincer et al. (2024, p. 405) place less weight on LVES, which correlates less closely with the other three indices.

Secondly, the inclusion of an objectives component significantly biases de jure CBI indices by reflecting the content of monetary policy goals. To reiterate, the content of the legal goals is not relevant when measuring independence; the ability of a central bank to choose and pursue its goals without political pressure is. Despite this, the "objectives" subcomponent shows the largest gap between the two nations for Romelli (2024) and the second-largest for Garriga (2025). The objectives component is a sub-

stantial, though not exclusive, driver of the divergence. While weighting schemes for developing the indices vary across authors, there is consensus that a price stability mandate alone should be weighted as important when measuring de jure CBI. For instance, Eijffinger and de Haan (2026, p. 4) describe how the Cukierman et al. (1992) index "considers the conservativeness of the central bank as defined by law," measured by the priority that "central bank law gives to price stability," and also that "this aspect of the index should have been given much more weight" than Cukierman et al. (1992) originally provided. Garriga (2025, p. 2) even defines central bank independence as "the delegation of monetary policy to central bankers *to pursue price stability* insulated from political pressures."

This is at odds with the theoretical distinction that the Federal Reserve serves at the behest of the mandate Congress sets for it. Consider what would happen to the Federal Reserve's de jure index scores if Congress passed a law requiring the Federal Reserve to include reducing inequality in access to credit as one of its monetary policy objectives. Institutionally, nothing would have changed; the Fed would still have autonomy in deciding which tools at its disposal to use to accomplish this objective.[5] More directly, say that Congress argues that monetary policy should be constructed to serve the poor or middle class first, explicitly.[6] This action would not influence goal *or* instrument independence, because Congress would still be responsible for setting monetary policy objectives (goal *dependence*) and would not have changed the Federal Reserve's ability to make individual policy decisions (instrument independence) freely. However, the Federal Reserve's CBI scores would fall across all indices.

The implication is clear. De jure central bank independence is not about whether a central bank can freely use its instruments to meet the political goals established by law. Instead, the literature defines price stability as the sole monetary policy objective for central banks with the greatest degree of de jure independence. This means independence is partially measured by how closely a central bank's goals adhere to the

[5]Perhaps it could make a new lending facility providing credit for the opening of bank branches in underserved areas, as an example.

[6]They could measure inflation using a basket of goods consumed by the poor, or measure full employment using slices of the economy that leave out the wealthy.

conservative central banker ideal, as defined in the theoretical literature. Deviations from this ideal are explicitly penalized, by construction, even if there are other valid economic objectives that monetary policy could be used to achieve.

4.2 Federal Reserve Policymakers' Speeches

So far, I have established that the "conservative" central banker is a version of central banking defended in the theoretical literature due to oversimplified models of politics and of the public's general preferences. Additionally, the definition of central bank independence in the empirical literature reflects a conservative central banker, rather than the nuanced view that distinguishes between goal and instrument independence. The economics literature and its epistemological priors have influenced the way Fed policymakers communicate about independence. I argue that while Fed officials routinely reference the congressional mandate that they uphold in their monetary policy, their speeches suggest that they interpret their own mandate more closely to the presentation of independence provided by the literature, where goals are not set by politicians but rather by a single understanding of the "conservative central banker." The implication is that no interest group can attempt to influence the goals of monetary policy through the political process, because there is no legitimate institutional alternative to the current arrangement.

Papers only matter if people in positions of power implement their ideas. Thus, even though I have established that the academic economics literature conflates goal and instrument independence, this only matters if that literature influences policymakers at the Federal Reserve. Four core papers I previously discussed are particularly well cited, and they were all published before the start of my sample of speeches. Thus, I focus on speeches that reference these papers in my qualitative analysis. To be more holistic in my approach, I group all references to "Cukierman" together, as many papers by Alex Cukierman, such as Cukierman et al. (2002) and Cukierman (2008), build on or contain strong references to the 1992 methodology. Table 5 documents how

many total speeches reference a given paper.[7] I manually read through the speeches that referenced the core literature to produce my analysis. In the rest of the section, I detail how these ideas were utilized by selecting a subsample of speeches to highlight, drawing from a range of Fed officials.

Table 5: Speeches by Federal Reserve officials that reference key papers, 1996–2025

Policymaker	Kydland & Prescott (1977)	Rogoff (1985)	Cukierman	Grilli et al. (1991)	Alesina & Summers (1993)
Alan Greenspan	0	0	1	0	1
Ben S. Bernanke	2	2	3	1	3
Jerome H. Powell	1	1	1	0	4
Laurence H. Meyer	1	0	1	1	0
Roger W. Ferguson	0	0	1	0	1
Frederic S. Mishkin	1	0	1	0	1
Donald L. Kohn	0	0	1	0	0
Elizabeth A. Duke	0	0	2	2	2
Charles L. Evans	0	2	0	0	0
Charles I. Plosser	6	0	0	0	0
Jeremy C. Stein	0	1	0	0	0
Stanley Fischer	2	1	1	0	0
Christopher J. Waller	2	0	0	0	0
Adriana D. Kugler	1	1	1	0	1
Total	16	8	13	4	13

Notes: Each cell shows the number of times a given Federal Reserve official cited a given piece of literature. Because Cukierman's papers build on one another, I bundle all references to the Cukierman perspective on CBI into the fourth column. The first three officials listed served as Federal Reserve Chair, though some of their speeches as governor (before they were promoted to chair) are included. The sample was taken from 1996–2025, and speech metadata is sourced from Kaggle and Hugging Face.

First, Federal Reserve officials acknowledge and support the distinction between instrument and goal independence. For instance, Powell (2023) directly cites Debelle and Fischer (1994) to state explicitly that "the Federal Reserve's monetary policy independence corresponds to operational, or instrument, independence, rather than goal independence." Kugler (2024) reiterates this, suggesting that "the FOMC has been handed two coequal goals" by Congress. Additionally, "the law provides the Federal Reserve with some degree of independence in defining them in detail" (Kugler, 2024).

Despite this "coequal" nature of the dual mandate, Federal Reserve officials have

[7] Additionally, my sample contains 435 independent references to the "dual mandate."

a strong history of referencing the conservative central banker model in their monetary policy communication. Among all the speeches that reference Rogoff (1985) in Table 5, none strongly criticize the conservative central banker model. There are general acknowledgments of the model's limitations, but the speeches endorse the core findings. Consider Bernanke (2004). First, it is worth noting that the premise of this speech is to endorse Paul Volcker's decisions in the late 1970s. Bernanke invokes Rogoff (1985) directly, stating that "giving the central banker an objective function that differs from the true objectives of society may be useful" for fighting inflation. He then suggests that "these ideas, supported by a great deal of empirical work, have proven highly influential." In the same tradition, Powell (2023) highlights the importance of the conservative central banker model presented by Rogoff (1985) as well as the empirical evidence developed by Alesina and Summers (1993). Evans (2011) describes how after the 2008 recession, when fears of deflation and stagnation were dominant, many policymakers who were "conditioned by the work of Ken Rogoff" to fight inflationary tendencies in normal times needed to shift their mindset. In other words, barring a financial crisis, the default assumption is that officials will overvalue inflation fears first. Perhaps this is why European Central Bank Executive Board member Isabel Schnabel (2026) argues that a "dual mandate rarely leads to fundamentally different policy prescriptions" than a mandate emphasizing only price stability.

The empirical work on de jure indices has also heavily influenced policymakers' speeches, particularly in justifying the Federal Reserve's current institutional arrangement. That is not to say, though, that policymakers have not pointed out the inconsistency of including goal independence in the de jure CBI measurement schemes. Governor Laurence Meyer was among the first policymakers to explicitly reference the de jure independence indices. In Meyer (2000), he describes how, under the methodology of Grilli et al. (1991) and Cukierman et al. (1992), when "price stability is the exclusive objective of monetary policy, or at least the principal objective," a central bank scores better, so the Fed is penalized for having a dual mandate. He explicitly prefers the measure from Bade and Parkin (1988) because of this flaw. However, it is

worth noting that Meyer (1996) interprets the Fed's dual mandate as primarily a price-stability mandate, at least in the long run under the doctrine of monetary neutrality.[8] Thus, there is a tension between the two speeches. Economic theory would support constructing the indices because monetary policy affects only inflation in the long run. In practice, monetary policy is not neutral in the long run.

Additional speeches acknowledge the tension regarding the dual mandate and de jure CBI indices. This conversation centers on Cukierman (2008), in which Cukierman extended his 1992 work. Cukierman (2008) notes a variety of caveats to the broader findings on the relationship between inflation and CBI, particularly regarding developing vs. developed countries, and points to literature that questions the relationship between inflation and employment. Also, note that Cukierman (2008, p. 723 n. 6) uses "conservativeness and independence interchangeably" since they are related and price stability is widely considered to be "the primary responsibility" of a central bank. Speeches by Fischer (2015) and Kugler (2024) both highlight this tension between instrument and goal independence. For instance, Kugler (2024) explicitly references how the dual mandate depresses the Federal Reserve's Romelli (2024) CBI index score to highlight this problem. Still, other Federal Reserve officials appeared to use independence measures that include the price stability objective. A speech by Mishkin (2008) uses this work to state that "countries with the highest degree of central bank independence are found to have the best inflation performance." Similarly, testimony by Kohn (2009) argues, based on Cukierman (2008), that "countries with more independent central banks experience lower and more stable rates of inflation with no sacrifice of jobs or income."

Most starkly, Alesina and Summers (1993), where much of the original conflation of goal and instrument independence became ingrained in the literature, remains prominently cited as a core piece of the CBI literature. My sample found 13 speeches that reference Alesina and Summers (1993), 10 of which cite it as a simple baseline citation on the merits of CBI, offering little additional insight. Citing it effectively checks

[8] As I describe in section 2.2, this doctrine may not reflect modern monetary policymaking's complexities.

an academic box; it is a widely accepted, core paper. Only three speeches provide any substantive conversation on this beyond a simple citation. Then-Governor Powell (2015) referred to the paper as "seminal." However, he describes how "more recent research finds the relationship to be less solid [. . .] in part because independent central banks have in several cases been instituted precisely because economic performance has been subpar." Kugler (2024) acknowledges the finding in Alesina and Summers (1993) before arguing about the merits of maintaining an employment objective. Finally, Powell (2023) provides a reference to Alesina and Summers (1993) as "empirical evidence" of the inflation merits of CBI (he later addresses the importance of maintaining instrument, not goal, independence). In all cases, the theoretical assumptions that underpin Alesina and Summers (1993) are either ignored or not criticized.

Thus, the economics work addressed in section 4.1 is regularly used by policymakers as a starting point for discussions of CBI. The papers' core findings and normative assumptions are rarely contested, even if their methodological weaknesses (particularly regarding de jure CBI indices) are openly acknowledged. Instead, they are referred to as the baseline for further conversation. This theme can be summarized by analyzing a speech by Mishkin (2008), who describes how "special interests may try to apply pressure on the central bank to boost employment in the short term through an overly expansionary monetary policy." Mishkin attempts to validate these points by citing Alesina and Summers (1993), Kydland and Prescott (1977), and various works by Cukierman. Which special interests are encoded in the models in the first place is never touched.

5 Conclusion

This paper analyzed how economics literature justifies the current institutional arrangement of central bank independence. It traced how the conflation between goal and instrument independence occurs in both the theoretical and empirical literature. I established how normative assumptions about social welfare functions, along with the

assumption of monetary neutrality, were essential to the creation of the conservative central banker model. This model establishes price stability as the optimal social goal of central banking. Then, I argued that the emphasis on price stability is incorporated in empirical measures of de jure central bank independence indices. The literature uniformly penalizes the Federal Reserve's central bank independence scores because its legal monetary policy goals include more than just price stability. Finally, I noted that Federal Reserve policymaker speeches often acknowledge the conflation of goal and instrument independence in the literature. Yet, they rarely critique the findings of papers predicated on this bias.

The findings of this paper should not be construed as criticizing instrument independence or defending the expansion of executive power regarding the Federal Reserve. The economics and political science literature broadly defends limiting political influence on the implementation of a variety of policies, including monetary policy. However, independence should not be considered absolute. The goals of monetary policy are the product of political, not economic, decisions. Ensuring that these goals reflect the changing social needs of constituents is imperative. Thus, in my view, future research should seek to deepen understanding of the merits of different monetary policy goals and ensure that the democratic process plays a role in central banking. This can occur independently of the legal, economic, and political defense of instrument central bank independence.

Powell (2023) argues that the Fed "should 'stick to our knitting' and not wander off to pursue perceived social benefits that are not tightly linked to our statutory goals and authorities." Under the historical distinction of instrument and goal independence, that makes institutional sense. Sticking to the explicit goals of monetary policy, as laid out by law, meets the standard of instrument independence. However, if the literature that underpins many of the academic arguments justifying this institutional arrangement conflates goal and instrument independence, then it becomes impossible to challenge and improve the aforementioned statutory arrangement politically. Defining the goals of monetary policy is a political job; the economics literature today does not create

space for analysis that can inform this political conversation.

As a final thought, I argue that stifling the debate on the goals of monetary policy under the guise of “preserving central bank independence” is dangerous. Normative loading and the neglect of political subjects in economics literature mean that the interests that are most strongly encoded in the baseline literature have an academic justification for continuing to benefit from the current institutional arrangement of monetary policy. In the era of central bank independence, inequality has rapidly expanded in the United States, driven by the unprecedented growth of the financial sector (Krugman, 2025; Menand, 2022). As previously established, banking, in particular, has a unique relationship with the Federal Reserve. Academics who criticize this arrangement should not be considered apologists for the expansion of executive authority regarding monetary policy, nor should these arguments be shut down on the grounds that they would lead to hyperinflation. The goals of monetary policy are intrinsically political and should be subject to debate. Academics should spend time analyzing a potential financial system that can address social issues such as inequality without sacrificing instrument independence. I envision a world where monetary policy is free to evolve, informed by a new literature on its goals and driven by the democratic process. The economics and political science literatures, together, can help achieve this vision.

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